

was known) launched in 2017. Two years later, SBF launched FTX as a cryptocurrency exchange. The money and profits rolled in, along with accolades and political influence. He became the first self-made billionaire under 30, the fastest to \$26 billion, and a crypto wunderkind.

The Belfers rolled a pile of cash into FTX as investors in the underlying company, and perhaps in crypto itself. According to the *Financial Times*: “Belfer Investment Partners held shares from FTX’s equity fundraisings in 2021 and early 2022, as well as investing in the crypto exchange’s US business... Another firm linked to the family, Lime Partners LLC, also held shares in FTX and FTX US.”²⁵⁷

Given the Belfers’ streak, you might guess what comes next: \$8 billion in capital went missing, and FTX was forced to declare bankruptcy. The comingled funds between Alameda and FTX caught the attention of US SEC attorneys; SBF was extradited from the Bahamas to stand trial in America. He was convicted and sentenced to 25 years in jail.



Enron, Madoff, and then FTX: Has there ever been a greater, more unholy trifecta than this?

I said up front that the Belfers were going to be okay, and they are. The most recent report of the Madoff Victim Fund shows a recovery of 91% of fraud losses.²⁵⁸ And the FTX recovery—coincidentally special mastered by John J. Ray III,²⁵⁹ who helped oversee the Enron recovery—is now at 118%.²⁶⁰

The way fraud recovery works is this: Victims get a percentage of their investment back, depending upon how successful the bankruptcy special master is at locating the stolen funds. When it is a few million in stolen funds, the percentage losses tend to be larger but the actual lost number of dollars are smaller. Those minor thieves spend money on real estate, travel, watches, cars, and other luxury items. Between depreciation and transaction costs, there is a large amount of slippage.